



AI-Driven Customer Retention Strategy for talabat Egypt

Strategic Recommendation & Investment Case

Prepared for the Executive Committee and Board of Directors

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1. Executive Summary

Recommendation. Extend talabat's Group AI roadmap into Egypt — sharper product recommendations, better-timed cross-sell offers, and deeper advertising personalisation for restaurant and retail Partners. This is not a new technology build. It is the disciplined redeployment of capability talabat has already funded, built, and proven at Group level, into the one major market that does not yet have it.

Why now. Egypt became a standalone, profitable segment for the first time in FY2025 — revenue of USD 509.9 million, gross profit of USD 125.0 million at a 24.5% margin, and net profit of USD 44.4 million. Momentum has since accelerated: Q1 2026 profit before tax reached USD 9.4 million, up from USD 0.5 million a year earlier, on 81% year-on-year revenue growth to USD 145.3 million. Egypt is now talabat's largest user base and third-largest market by GMV. At the same time, it is the newest major market, with talabat pro live for barely a year and a wave of well-funded local competitors — Breadfast, Rabbit, elmenus — contesting share on price and speed rather than loyalty. Consumer economics are under pressure from food inflation running above 70% year-on-year and currency depreciation, both of which raise the value of retention relative to discount-led acquisition. talabat has already seen what happens when this gap is left open: in the UAE, Kuwait, and Qatar, retention among lower-value customers fell 4% year-on-year, a decline the company attributes directly to competitive pressure. Egypt is not yet in that position — but it is the clearest evidence of what an unaddressed capability gap can cost.

Investment. An illustrative USD 13.2 million, sized as Egypt's roughly 11% share of Group revenue applied to the Board-approved 2026 growth investment programme. This is not new capital — it is a prioritisation of capital talabat has already committed.

Expected return. Against a base case of USD 581–597 million in FY2026 Egypt revenue — a projection that takes no credit for this initiative — the investment needs to generate only USD 53.9 million, or 10.6%, in incremental revenue to pay for itself. That is a materially lower bar than the 20–28% uplift the same mechanisms have already delivered at Group level. This upside is held to a conservative, low-confidence standard throughout, and the single largest risk identified — the upside underperforming the base case — is treated as the top priority to manage, not a footnote.

Path to impact. A phased rollout: a limited, closely measured pilot in the first six months to establish Egypt-specific evidence; a full rollout across the customer base from month six, sequenced through Partners before reaching customers directly; and, conditional on one full reporting cycle of positive results, extension into talabat's grocery and quick-commerce business from month eighteen.

Bottom line for the Board: *talabat Egypt does not need to build new capability or commit new capital to defend and extend its category leadership. It needs to prioritise Egypt in a rollout it has already funded — at a modest cost, against a return bar well below what the same investment has already proven to deliver elsewhere in the Group.*

Investment required	~USD 13.2m (within existing Board-approved envelope)
FY2026 base case revenue (Egypt)	~USD 581–597m
Break-even incremental revenue	~USD 53.9m (~10.6%)
Proven precedent (Group/GCC)	20–28% uplift from the same mechanisms
Top risk	Upside case underperforming base case
Time to first evidence	6 months (pilot)
Full rollout	Months 6–18

2. Business Context

talabat is the leading on-demand delivery platform across the Middle East and North Africa, operating food delivery, quick-commerce grocery ("talabat mart"), and a growing advertising business built on Partner-facing data and reach. The company has scaled from a single-category food-delivery app into a multi-sided marketplace connecting consumers, restaurant and retail Partners, and riders across eight markets.

Egypt is now central to that story. It carries talabat's largest customer base of any market and ranks third by gross merchandise value, and FY2025 was the first year it stood alone as a disclosed, profitable segment. Growth has not slowed since: Q1 2026 revenue rose 81% year-on-year, and profitability nearly doubled in the same period.

At Group level, talabat has already invested in and shipped a next-generation AI capability set: richer, more relevant recommendations for customers; better-timed cross-sell and loyalty offers; and deeper personalisation of the advertising inventory it sells to restaurant and retail Partners. The financial impact of this capability is the only directly quantified AI value in the company's own disclosures — its contribution to EBITDA rose from over USD 14 million in FY2024 to over USD 30 million in FY2025.

None of this has an Egypt-specific commitment, launch date, or budget attached to it today. talabat pro, the subscription programme these mechanisms are most directly tied to, has been live in Egypt for only about a year — the shortest tenure of any major market. Meanwhile, a new generation of well-capitalised, speed- and price-focused local competitors has emerged, and household budgets are under real pressure from inflation and currency movement. talabat's own experience in more mature markets shows what an unaddressed gap can cost: retention among lower-value customers in the UAE, Kuwait, and Qatar declined 4% year-on-year, attributed explicitly to competitive pressure.

talabat's disclosed mission is to empower everyday convenience across the region it serves, and its stated vision is to deliver to "the region that delivers" — commitments made at Group level that have not yet been operationalised specifically for Egypt. The strategic question is how to close that gap before the competitive and macroeconomic pressure already visible elsewhere in the Group repeats itself in talabat's newest, fastest-growing, and least AI-instrumented major market.

3. Market Opportunity

Category leadership, not yet loyalty leadership. talabat holds a commanding position in Egypt's food-delivery category — conservatively four times the scale of its nearest rival, and by some measures more than ten times — built primarily on breadth of selection and delivery reliability rather than on any AI-driven personalisation or loyalty mechanism. That leadership is real, but it rests on a foundation that newer, more targeted competitors are now testing directly.

Where the value concentrates. talabat's own customer base splits cleanly into a small number of high-value segments — subscribers and multi-vertical users — that account for roughly a quarter of active customers but around half of total transaction value. This is the segment the recommendation below targets: the concentrated core of value already on the platform, not an unproven pool of new customers. Acquiring net-new, price-sensitive customers in a market this competitive is a materially more expensive and less certain path to the same revenue outcome.

Competitive landscape. Three named local challengers — Breadfast, Rabbit, and elmenus — have entered or expanded in Egypt with lower commission structures and speed- or price-led propositions, rather than direct AI-driven personalisation competition. talabat's stated response, already articulated at Group level, is to compete on loyalty and value-proposition investment rather than matching discount-for-discount — the recommendation below operationalises that stated intent for Egypt specifically rather than proposing a new competitive posture.

Macroeconomic backdrop. Egyptian food-price inflation has run above 70% year-on-year, alongside continued currency depreciation. Both dynamics increase the relative value of retaining an existing customer over acquiring a new, discount-sensitive one — reinforcing, not weakening, the case for a retention-first intervention at this specific moment.

The window is open now, not indefinitely. Egypt's scale and profitability inflection make this the right moment to invest; the same competitive and macro pressures that have already eroded retention elsewhere in the Group are early-stage, not yet realised, in Egypt today. Closing the capability gap before that pressure intensifies is the core timing argument for acting now.

Market signal	Reading
Category share	4x+ nearest competitor (conservative)
High-value segment concentration	~25% of active customers, ~50% of transaction value
talabat pro tenure in Egypt	~1 year — shortest of any major market
Food inflation	70%+ year-on-year
Precedent for inaction	-4% retention (non-high-value segment, UAE/Kuwait/Qatar)

4. Strategic Recommendation

Three strategic paths were evaluated for closing Egypt's AI-retention gap.

Option	Description	Verdict
A — Build a new, Egypt-specific churn-prediction and win-back capability	Construct a bespoke predictive model from scratch for the Egyptian market	Not recommended — duplicates capability talabat has already built and proven; slower, higher-risk, and unnecessary
B — Subscription-uplift-only strategy	Focus investment narrowly on driving talabat pro sign-ups	Not recommended — too narrow; leaves the larger, already-proven recommendation and advertising mechanisms unused
C — Extend the existing Group AI roadmap into Egypt (recommended)	Redeploy talabat's already-built recommendation, cross-sell, and advertising-personalisation capability into the Egyptian market	Recommended

Why Option C. talabat does not need to invent new technology to compete on loyalty in Egypt — it needs to prioritise a market that has not yet received capability the rest of the Group already has. This is the fastest and lowest-risk path to impact precisely because it asks nothing of the organisation except sequencing: no new infrastructure, no unproven model, no narrow bet on a single lever. A build-versus-buy-versus-partner assessment of the underlying technology confirms this directly — redeploying talabat's own existing capability outperforms building new technology or licensing a third-party alternative on cost, speed, and control, with no material trade-off.

What this delivers for the customer and the business. Three mechanisms, working together: sharper, more relevant recommendations at the point of ordering; better-timed cross-sell and loyalty offers calibrated to individual customer behaviour; and deeper personalisation of the advertising inventory sold to restaurant and retail Partners. Two of the three already share a proven, quantified financial driver at Group level; the third —

advertising personalisation — is the longer-horizon, Partner-facing component of the same capability set. None of the three requires talabat to build anything it does not already operate today.

5. AI Solution

talabat's AI capability today spans four functional areas, already operating at Group scale:

Function	Application
Customer personalisation	Product recommendations, loyalty-offer timing
Logistics	Predictive dispatch, dynamic route optimisation
Advertising	Partner ad-targeting, automated ad-buying
Internal operations	Invoice matching, sales-lead qualification, fraud detection

This capability runs on a shared technology backbone inherited from Delivery Hero's group-wide logistics infrastructure, with a proprietary recommendation and ranking layer built on top — a model that begins actively shaping what an individual customer sees after roughly six orders on the platform.

The scale is substantial: the platform now processes 235 terabytes of data per day, up from roughly 13 terabytes a year earlier — an eighteen-fold increase that reflects how quickly this capability has matured at Group level.

This is a redeployment, not a build. The technology recommended for Egypt is already operating in production elsewhere in the Group. The recommendation and cross-sell engine, the advertising-personalisation layer, and the underlying logistics infrastructure all exist today; the task is prioritisation and market-specific tuning, not construction. This materially de-risks the investment case: there is no technology-development timeline or vendor dependency standing between approval and impact.

Scalability. Because the capability already operates across seven other markets at meaningfully larger scale than Egypt alone, extending it does not require new infrastructure investment beyond the budget already set out in Section 7. The same architecture that supports the Group today is built to absorb an additional market.

What comes next. Once Egypt-specific performance is established through the initial pilot, the natural extension is into talabat's grocery and quick-commerce business, applying the

same personalisation and recommendation logic to a second, fast-growing vertical — the final phase of the implementation roadmap set out in Section 8.

6. Business Model

This initiative introduces no new product, pricing structure, or revenue line. It strengthens the performance of the four revenue streams talabat Egypt already operates:

Revenue stream	How this initiative strengthens it
Commission	Better-timed, more relevant offers protect existing order volume against competitive churn
Delivery & service fees	Scale with the same protected order volume as commission
Subscription (talabat pro)	Most direct beneficiary — the same mechanism already decides when to surface a subscription offer, and subscription revenue is effectively monetised twice: a direct fee, plus a meaningfully higher order-frequency from subscribers
Advertising & listing fees	Longest-horizon beneficiary — deepened Partner-facing personalisation is the same mechanism talabat already uses internally to help Partners win back their own customers

Unit economics. At Group level, talabat's blended take rate runs at roughly 40% of transaction value. Egypt's own disclosed cost structure shows delivery cost at approximately 22% of segment revenue — the one Egypt-specific cost line available. Subscribers show a meaningfully higher gross-profit contribution within thirty days of signing up, evidence that the retention mechanism being extended already pays for itself quickly once a customer engages with it.

No new monetisation strategy is required. The financial case rests entirely on protecting and growing volume through talabat's four existing streams — not on inventing a fifth.

7. Financial Impact

Investment. An illustrative USD 13.2 million, calculated as Egypt's approximate 11% share of Group revenue applied against the Board-approved 2026 growth-investment programme. This sits inside capital talabat's Board has already approved — the ask is prioritisation, not a new appropriation.

Base case. FY2026 Egypt revenue is projected at USD 581–597 million, scaled directly from Egypt's disclosed FY2025 result against the Group's own guided FY2026 growth range. This figure takes no credit whatsoever for this initiative — it is the baseline the investment must beat, not a forecast inflated by the recommendation itself.

Break-even. The USD 13.2 million investment needs to generate USD 53.9 million in incremental revenue — 10.6% of Egypt's FY2025 revenue base — to pay for itself at Egypt's disclosed 24.5% gross margin. That bar sits well below the 20–28% order-frequency and retention uplift the same mechanisms have already delivered at Group and GCC level.

Confidence and discipline. This upside is deliberately not presented as a central-case certainty. Six of the seven planning assumptions underlying the financial case are held at a conservative confidence level, reflecting how limited Egypt-specific performance data is today rather than any weakness in the underlying mechanism. The risk assessment in Section 9 independently confirms that the upside underperforming the base case is the single highest-priority risk to manage — not a caveat buried in a footnote, but the top line of the risk register.

Three scenarios, three distinct roles. The base case above is not one of three co-equal forecasts — each scenario plays a specific role in the investment case, and only the base case is quantified as a dollar figure, deliberately:

Scenario	Role	Logic
Base	Headline financial baseline	Egypt's FY2025 revenue scaled forward at the Group's guided FY2026 growth rate, taking no credit for this initiative
Upside	The initiative's projected return, evidenced by precedent — not a competing central estimate	The same recommendation mechanisms succeed in Egypt as they already have at Group level (20–28% order-frequency and retention uplift); held at low confidence, since every input is Group/GCC evidence not yet proven in Egypt specifically
Downside	A named risk case, not equally likely to the base case	Group-wide margin compression already visible in early 2026 results, combined with Egypt's currency-depreciation risk, deepens beyond what the base case already assumes

Notably, Egypt's own recent trajectory — profit before tax swinging sharply upward over the past year — runs in the opposite direction from the Group-wide pressure the downside case extrapolates. The downside is a genuine risk worth planning against; it is not the most likely reading of Egypt's own current trend.

Illustrative FY2026 P&L snapshot

Line	Illustrative figure	Basis
Revenue (base case)	~USD 581–597m	FY2025 actual × Group FY2026 guided growth
Gross profit (at FY2025's 24.5% margin)	~USD 142–146m	Margin held constant, applied to base-case revenue
Less: investment	(USD 13.2m)	This initiative's full cost
Gross profit net of investment	~USD 129–133m	Gross profit less the investment line
<i>Memo: FY2025 actual profit before tax (reference only)</i>	<i>USD 39.7m</i>	Not projected forward — Egypt-specific SG&A and tax detail below gross profit is not yet disclosed

Funding and scaling. No new capital is requested. The investment is a prioritisation within talabat's existing 2026 envelope, and the cost structure it relies on — principally delivery cost, already running at roughly 22% of Egypt revenue — is not expected to scale materially differently as volume grows, since the underlying logistics infrastructure already operates at Group scale.

8. Implementation Roadmap

A three-horizon rollout, each phase gated on evidence from the one before it.

Horizon	Timeframe	Focus	Gate to next phase
Horizon 1 — Pilot	Months 0–6	Limited-scope deployment across a defined customer subset; instrument Egypt-specific performance against the Group/GCC benchmark for the first time	Recommendation relevance and cross-sell response in line with the Group benchmark; no material fairness gap across customer segments
Horizon 2 — Full Rollout	Months 6–18	Extend across the full Egyptian customer base; sequence Partner-facing and card/loyalty channels before customer-facing activation, consistent with talabat's existing go-to-market discipline	One full reporting cycle of Egypt-specific evidence tracking toward or ahead of the base-case financial trajectory
Horizon 3 — Extension	Month 18+	Apply the same recommendation and personalisation logic to talabat's grocery and quick-commerce business in Egypt	Conditional on Horizon 2 evidence; not pursued if Horizon 2 does not clear its gate

Organisational readiness. talabat Egypt operates through two established local legal entities, giving this initiative a concrete organisational home rather than an abstract "Egypt business unit." The technology this initiative depends on already exists and runs at Group scale — the strongest-evidenced element of the entire readiness assessment. The one genuine organisational gap to close before scaling: clear ownership of Egypt-specific AI execution, sitting between the Group's shared technology function and a dedicated in-market team. Resolving this ownership question is a Horizon 1 prerequisite, not a Horizon 2 afterthought.

Marketing sequencing. No customer-facing marketing spend during the pilot. At full rollout, activation is sequenced from internal readiness through Partner and card/loyalty channels

before reaching customers directly — the same disciplined sequencing talabat already applies elsewhere, extended to this initiative rather than invented for it.

9. Risk Assessment

Eleven risks were assessed across technical, market, financial, organisational, and regulatory categories. One risk is rated High probability / High impact — every other risk sits at a lower severity.

Risk heat map

	Low impact	Medium impact	High impact
High probability			Upside case underperforms base case
Medium probability	Regulatory action in Egypt	Local competitor erosion; Macro/inflation demand compression; FX depreciation; AI-capability ownership ambiguity	Model transfer risk
Low probability		Capital-envelope trim at Group level; Governance/sponsorship discontinuity	Algorithmic bias/fairness risk; Delivery-reliability failure

Top risks and mitigations

Risk	Mitigation	Owner
Upside case underperforms base case	Instrument Egypt-specific KPI baselines from day one of the pilot, with an explicit go/no-go checkpoint against the base-case trajectory before scaling further investment	Egypt leadership, with Group finance
Model transfer risk (Group model performance not yet proven on Egyptian customer behaviour)	Run the Horizon 1 pilot as a genuine test of recommendation and cross-sell performance against the Group benchmark before full commitment	Group AI team, with Egypt leadership
Algorithmic bias/fairness risk	Monitor performance at the customer-segment level, not just in aggregate, within the same pilot	Group AI team, with Egypt leadership
Local competitor erosion	Track named-competitor pricing and positioning as a standing input to the retention roadmap, not a one-time assessment	Egypt leadership / Strategy
AI-capability ownership ambiguity	Resolve execution ownership between the Group technology function and Egypt leadership before Horizon 2	Group technology leadership, with Egypt leadership

10. KPI Framework

Sixteen KPIs, split between leading indicators (adoption, engagement) and lagging indicators (revenue, retention), all tracing directly to the financial and value-creation logic set out in Section 7. Twelve of the sixteen have no existing Egypt-specific baseline today — establishing that baseline is itself one of the pilot's primary purposes, not a gap in the measurement approach.

KPI family	Example metrics	Type	Egypt baseline
Recommendation performance	Relevance rate, click-through response	Leading	Not yet established
Cross-sell / loyalty engagement	Offer response rate, order-frequency uplift	Leading	Not yet established
Advertising personalisation	Partner-side engagement, adtech revenue penetration	Leading	Not yet established
Revenue outcomes	Segment revenue, subscription growth	Lagging	Partially disclosed
Retention	Customer retention rate, churn to competition	Lagging	Not yet established
Delivery and service quality	Delivery cost ratio, service-level performance	Lagging	Disclosed

Review cadence and decision criteria. Root financial metrics are reviewed quarterly against the base case set out in Section 7. Seven of the sixteen KPIs carry an explicit go/no-go role at each horizon transition — measured against whether Egypt's trajectory is tracking toward the base case (a pass) or toward the higher, less-certain upside case (a bonus, not a requirement) — rather than against a fixed numeric target that today's limited Egypt data cannot yet support responsibly. The remaining KPIs are tracked for monitoring and context. As Egypt-specific evidence accumulates through the pilot, these thresholds will be sharpened into firm numeric targets.

11. Responsible AI

Every commitment below ties to a specific, named risk in Section 9 — this is risk management, not a separate statement of principle.

Fairness and transparency. No full-scale Egypt rollout proceeds without segment-level performance monitoring — checking specifically whether price-sensitive or newly onboarded customer segments see materially worse recommendation quality than the platform average, not just whether performance looks acceptable in aggregate. talabat does not yet have a disclosed customer-facing explanation of how its recommendation and ranking logic works; closing that gap as the initiative scales is recommended, rather than asserting a practice that does not yet exist.

Governance. A standing, segment-level fairness review is recommended at each phase of the rollout — pilot, full rollout, and extension — rather than a one-time check at launch that is never revisited as the programme scales.

Sustainability and community. This initiative sits on top of, and should reinforce rather than undermine, talabat's existing community footprint in Egypt: a training academy run with the German Chamber of Commerce that has already reached over 200 small and medium businesses, an expanding set of charity partnerships supporting food security, and the company's first electric-vehicle delivery pilot in Cairo. An AI-driven retention strategy that erodes Partner or rider trust through opaque decision-making would work directly against this existing foundation — which is precisely why the governance commitments above are framed as risk management, not decoration.

12. Conclusion

talabat Egypt stands at an inflection point: newly profitable, its largest user base, and growing faster than at any point in its history — at the exact moment a well-funded set of local competitors is testing the loyalty depth behind that scale. talabat does not need to build anything new to respond. It needs to extend a capability it has already funded, built, and proven, into the one major market that does not yet have it, at a cost well inside capital already committed and against a return bar its own results elsewhere in the Group have already cleared.

The path forward is deliberately disciplined: a limited pilot to establish Egypt-specific evidence, a phased rollout gated on that evidence, and a clear-eyed view of the single largest risk to the case — carried at the top of the risk register, not buried in it. This is the fastest, lowest-risk way to convert talabat's scale leadership in Egypt into the loyalty-depth leadership that will defend it.

The recommendation to the Board is straightforward: approve the prioritisation of Egypt within the existing 2026 investment programme, and begin the pilot within the next quarter.

Appendix: Supporting Financial Detail

Key planning assumptions

Assumption	Basis	Confidence
2026 investment total splits into Egypt and other market allocations	Board-approved 2026 investment programme	High
Egypt active-customer growth trajectory	Directional estimate — no disclosed Egypt-specific target	Directional
Egypt order-frequency and retention uplift	Imported from Group/GCC precedent	Directional
Egypt average order value drift	Partially inflation-offset, directional only	Directional
Egypt implied GMV and take rate	Derived from disclosed Group blended take rate	Directional
Egypt advertising-revenue penetration trend	Imported from Group adtech trend	Directional
Egypt investment allocation (~USD 13.2m)	Egypt's revenue share applied to the Group programme	Directional

Six of these seven assumptions are held to a conservative, directional standard rather than presented as firm forecasts — a deliberate reflection of how limited Egypt-specific disclosure is today, not a weakness in the underlying financial logic. As the Horizon 1 pilot generates real Egypt performance data, these will be refined into firmer, market-specific figures.